GOVERNMENT OF INDIA

Ministry of Micro, Small & Medium Enterprises

Empowering Enterprise, Accelerating Growth

Confidential and Proprietory
August 2026

SHRI NARENDRA MODI

HONORABLE PRIME MINISTER, INDIA



MESSAGE

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MINISTRY OF MICRO, SMALL & MEDIUM ENTERPRISES



MESSAGE

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MESSAGE

Micro, Small and Medium Enterprises constitute the backbone of India's economy, contributing significantly to employment generation, manufacturing output, exports, innovation, and inclusive economic development. The Ministry of Micro, Small & Medium Enterprises plays a transformative role in empowering entrepreneurs, strengthening industrial competitiveness, promoting innovation, facilitating access to finance, and enabling sustainable enterprise growth across the country.

The Chamber of Commerce and Industries of India (CCI India) firmly believes that a vibrant MSME ecosystem is essential for achieving the vision of *Atmanirbhar Bharat* and *Viksit Bharat 2047*. Through policy advocacy, business facilitation, investment promotion, startup incubation, market linkages, technology adoption, digital transformation, export promotion, and capacity-building initiatives, CCI India remains committed to supporting the Ministry's efforts in creating globally competitive enterprises.

This Knowledge Paper presents comprehensive insights into the Ministry's policy framework, flagship schemes, institutional initiatives, investment opportunities, emerging technologies, and collaborative pathways that can accelerate MSME growth. It identifies strategic opportunities in digital manufacturing, cluster development, export readiness, financial inclusion, innovation ecosystems, quality certification, green enterprises, and entrepreneurship development.

The publication serves as a valuable resource for policymakers, entrepreneurs, MSMEs, investors, financial institutions, startups, technology providers, academic institutions, and development organizations committed to strengthening India's enterprise ecosystem. Through stronger partnerships and knowledge exchange, it seeks to promote innovation, enhance productivity, generate employment, and accelerate inclusive economic growth.

As India continues its journey towards becoming a global economic leader, MSMEs will remain at the heart of industrial development and entrepreneurship. CCI India looks forward to working closely with the Ministry of Micro, Small & Medium Enterprises in building a resilient, innovative, and globally competitive MSME ecosystem that drives sustainable national progress.

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PREFACE

Micro, Small and Medium Enterprises constitute the sovereign engine of India's inclusive economic growth. Employing over 11 crore people, contributing approximately 30% of GDP, and accounting for nearly 46% of total exports, the MSME sector is not merely an economic segment it is the structural backbone of India's aspirations for a developed nation by 2047. For the first time in independent India's history, the MSME sector is being treated with the same strategic urgency as defence, infrastructure, and digital transformation.

The Ministry of Micro, Small and Medium Enterprises (MoMSME), Government of India, orchestrates an expansive policy architecture encompassing enterprise formalisation, technology upgradation, credit access, export promotion, cluster development, and skill enhancement. With a revised budget outlay exceeding ₹22,000 crore in FY 2024–25 and a constellation of flagship schemes including PM Vishwakarma, SFURTI, ASPIRE, CHAMPIONS, and Udyam Registration, the Ministry has evolved from a welfare-oriented department to a strategic transformation agency.

This Knowledge Paper has been commissioned by the Chamber of Commerce and Industry of India (CCI India) to undertake a rigorous, consulting-grade assessment of the Ministry's strategic landscape, institutional architecture, sectoral priorities, execution gaps, and collaboration opportunities. The analytical framework adopted in this paper draws from methodologies employed by Deloitte Government Advisory, PwC Public Sector Practice, EY Government & Infrastructure, KPMG Public Policy, NITI Aayog Strategy Papers, and World Bank Development Reports.

The purpose of this paper is threefold: first, to provide a comprehensive intelligence brief on the Ministry's mandate, ecosystem, and priorities for the benefit of senior policy stakeholders; second, to identify structural gaps in implementation, market development, and stakeholder engagement where a credible institutional partner can add measurable value; and third, to position CCI India as the natural, capable, and institutionally aligned strategic partner for the Ministry's transformational agenda.

This paper is intended for submission to Union Ministers, Secretaries to the Government of India, NITI Aayog Members, Senior IAS and IES Officers, Industry Leaders, Development Finance Institutions, Venture Capital Funds, and International Development Agencies including the World Bank, ADB, and IFC.

CCI India brings to this collaboration a unique convergence of institutional credibility, national industry network, policy advocacy capability, startup ecosystem access, investor relations, and research depth. This paper is the first step in establishing a formal, structured, and outcomes-driven partnership with the Ministry of MSME a partnership that will create tangible value for 6.3 crore enterprises, their workers, and India's broader developmental ambitions.

Chamber of Commerce and Industries of India (CCI India)

Table of Content

SHRI NARENDRA MODI **2**

HONORABLE PRIME MINISTER, INDIA *2*

SHRI JITAN RAM MANJHI **3**

HONORABLE MINISTER,MINISTRY OF MICRO SMALL &MEDIUM ENTERPRISES *3*

SHRI MUNINDRA KUMAR **4**

DIRECTOR GENERAL, CHAMBER OF COMMERCE AND INDUSTRIES OF INDIA *4*

PREFACE **5**

ABOUT CCI INDIA **8**

SECTION 1: INTRODUCTION TO THE MINISTRY OF MSME **9**

1.1 Constitutional and Statutory Mandate 9
1.2 Institutional Mandate and Governance Role 9
1.3 National Significance 9

SECTION 2: HISTORICAL TIMELINE OF THE MINISTRY **10**

2.1 Institutional Evolution (1948–2026) 10
2.2 Timeline Analysis: Strategic Interpretation 10

SECTION 3: MINISTRY OVERVIEW & ORGANISATIONAL STRUCTURE **11**

3.1 Institutional Framework 11
3.2 Structural Analysis and Governance Implications 12

SECTION 4: STRATEGIC IMPORTANCE OF THE MINISTRY **12**

4.1 Macroeconomic Significance 12
4.2 Analytical Interpretation of Key Indicators 13

SECTION 5: MSME SECTOR LANDSCAPE IN INDIA **14**

5.1 Market Structure and Enterprise Composition 14
5.2 Industry Structure: Clusters and Geographic Concentration 14
5.3 Digital and Technology Transformation Landscape 15
5.4 Future Outlook: 2026–2031 15

SECTION 6: MINISTRY PROGRESS REVIEW (2020–2026) **15**

6.1 Budget Evolution Dashboard (FY 2020–2026) 15
6.2 Key Schemes and Performance Review 16
6.3 Performance Interpretation and Strategic Assessment 16

SECTION 7: CURRENT LANDSCAPE ANALYSIS **17**

7.1 Major Achievements (2020–2026) 17
7.2 Existing Challenges: Structural and Systemic 17
7.3 Global Benchmarking Indian MSMEs vs. Peer Economies 17
7.4 Benchmarking Interpretation and Policy Implications 18

SECTION 8: STRATEGIC NEED FOR CCI INDIA COLLABORATION **18**

8.1 The Execution Architecture Gap 18
8.2 Market Failures Requiring Institutional Intermediation 18
8.3 The Public-Private Partnership Imperative 19

SECTION 9: GAP ANALYSIS FRAMEWORK **19**

9.1 Methodology 19
9.2 Gap Analysis: Consolidated Strategic Findings 20

SECTION 10: OPPORTUNITY ASSESSMENT MATRIX 20

10.1 Opportunity Identification Criteria 20
10.2 Matrix Analysis and Strategic Prioritisation 21

SECTION 11: STARTUP & INNOVATION ECOSYSTEM ANALYSIS 22

11.1 MSME-Startup Convergence: The New Frontier 22
11.2 Incubation and Acceleration Landscape 22
11.3 Technology Adoption and Industry 4.0 Readiness 22
11.4 Emerging Innovation Opportunities 23

SECTION 12: STRATEGIC ROLE OF CCI INDIA 23

12.1 CCI India as Industry Facilitator and Policy Advocate 23
12.2 Investment Promotion and Capital Mobilisation 23
12.3 Knowledge Partner and Research Capability 24
12.4 Ecosystem Builder and National Network 24

SECTION 13: PROPOSED COLLABORATION FRAMEWORK 24

13.1 Framework Architecture 24
13.2 PPP Model Design and Governance 25
13.3 Centres of Excellence 25

SECTION 14: PROPOSED FLAGSHIP PROGRAMMES FOR CCI INDIA 25

14.1 Programme Portfolio Overview 25
14.2 Programme Design Principles 27

SECTION 15: INVESTMENT & FUNDING FRAMEWORK 28

15.1 Multi-Layer Funding Architecture 28
15.2 Funding Architecture Analysis 29

SECTION 16: STATE-WISE ENGAGEMENT PRIORITY MATRIX 29

16.1 Geographic Engagement Strategy 29
16.2 Matrix Analysis and Geographic Prioritisation 31

SECTION 17: EXPECTED IMPACT ASSESSMENT 31

17.1 Quantified Impact Projections (2026–2031) 31
17.2 Impact Analysis and Systemic Significance 32

SECTION 18: FIVE-YEAR STRATEGIC ROADMAP (2026–2031) 33

18.1 Roadmap Design Principles 33
18.2 Roadmap Interpretation and Implementation Risk Management 34

SECTION 19: WHY CCI INDIA IS THE IDEAL STRATEGIC PARTNER 34

19.1 Institutional Distinctiveness 34
19.2 Track Record of Government Collaboration 35
19.3 Why Now: The Strategic Window 35

SECTION 20: STRATEGIC ACTION AGENDA & POLICY RECOMMENDATIONS 36

20.1 Immediate Priorities (0–12 Months) 36
20.2 Medium-Term Priorities (12–36 Months) 36
20.3 Long-Term Priorities (36–60 Months) 37

CONCLUSION 39

About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.

SECTION 1: Introduction to the Ministry of MSME

1.1 Constitutional and Statutory Mandate

The Ministry of Micro, Small and Medium Enterprises derives its mandate from Entry 24 of the Concurrent List of the Seventh Schedule to the Constitution of India, which grants both the Union and State governments authority over industries. The Ministry was reconstituted under its present name in 2007 following the enactment of the Micro, Small and Medium Enterprises Development (MSMED) Act, 2006 a landmark legislative instrument that provided for the first time a formal,legally defined classification for micro, small and medium enterprises based on investment in plant and machinery and annual turnover. This legislative foundation empowered the Ministry to formulate policies, administer schemes, and mobilise institutional resources to catalyse the sector's growth, competitiveness, and formalisation.

1.2 Institutional Mandate and Governance Role

The Ministry's institutional mandate spans five critical dimensions: (i) policy formulation and legislative oversight for the MSME sector; (ii) development of entrepreneurship through financial, technical, and marketing support; (iii) promotion of clusters, common facility centres, and technology upgradation programmes; (iv) facilitation of credit access including priority sector lending norms and the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE); and (v) international market development through export promotion councils and bilateral trade agreements.

The Ministry functions as the nodal agency for all Union Government interventions in the MSME space, coordinating with State governments, financial institutions, technology bodies, and international organisations. It oversees a network of 18 Tool Rooms and Technology Development Centres (TRTDCs), 28 National Small Industries Corporation (NSIC) offices, 30 MSME Development and Facilitation Offices, 4 National Institutes for Entrepreneurship and Small Business Development (NIESBUD and allied bodies), and 7 Regional Testing Centres constituting one of the most extensive enterprise support infrastructures in the world.

1.3 National Significance

No ministry in India's Union Government holds a more direct connection to ordinary citizens' economic welfare than the MoMSME. With 6.3 crore registered enterprises (and an estimated 11 crore including unregistered units as of 2024) concentrated disproportionately in Tier 2, Tier 3 cities and rural areas, the Ministry's interventions directly determine the livelihood security of over 110 million workers a workforce larger than the total population of most G20 nations. Its policy decisions ripple through supply chains, informal labour markets, rural credit ecosystems, and export competitiveness in ways that no macroeconomic aggregate can fully capture.

In the context of Viksit Bharat 2047, the MSME sector is positioned as the primary engine of formalisation, productive employment generation, and technology adoption in the non-corporate sector. The Ministry's role is therefore not merely developmental but civilisational it determines whether hundreds of millions of Indians can participate in, and benefit from, India's economic ascent.

SECTION 2: Historical Timeline of the Ministry

2.1 Institutional Evolution (1948–2026)

The Ministry of MSME's institutional trajectory reflects India's broader transformation from a state-directed, protectionist industrial policy framework to a market-enabling, globally competitive enterprise ecosystem. Each phase of the Ministry's evolution has been shaped by macroeconomic exigencies, political economy considerations, and the changing nature of the Indian entrepreneurial class.

Year / Period	Milestone, Reform or Policy Development
1948	Small Industries Development Organisation (SIDO) established under Ministry of Commerce
1954	Karve Committee Report: First systematic policy framework for small industries
1977	District Industries Centres (DICs) created to decentralise MSME support
1999	Ministry of Small Scale Industries and Ministry of Agro & Rural Industries created
2006	MSMED Act enacted landmark legislation defining MSMEs by investment & turnover
2007	Ministry of MSME reconstituted; NSIC expanded; CGTMSE operational
2015	Pradhan Mantri MUDRA Yojana launched credit to micro enterprises
2016	Stand-Up India Scheme credit facilitation for SC/ST and women entrepreneurs
2019	MSME definition revised turnover-based criterion added alongside investment
2020	MSME definition overhauled; manufacturing and services merged; composite criteria
2020	Emergency Credit Line Guarantee Scheme (ECLGS) launched COVID-19 relief
2021	Udyam Registration portal launched digital self-declaration formalisation
2022	CHAMPIONS Portal operational real-time grievance resolution for MSMEs
2023	PM Vishwakarma Yojana launched ₹13,000 crore for traditional artisans & craftsmen
2024	MSME Credit Cards (Tarun, Kishore, Shishu tiers) integrated with Udyam
2025	MSME Competitiveness Enhancement Programme under SIDBI with JICA partnership
2026	National MSME Innovation Index piloted; ZED 2.0 launched with AI-enabled benchmarking

2.2 Timeline Analysis: Strategic Interpretation

Phase I (1948–1990): The Protective Era. The formative decades were characterised by reservation policies specific product categories were reserved exclusively for small-scale industries. While this created a protected market for nascent enterprises, it inadvertently suppressed scale, technology adoption, and export orientation. The institutional architecture built during this era DICs, SIDO, tool rooms remains foundational to the Ministry's current outreach infrastructure.

Phase II (1991–2006): Liberalisation Shock and Adaptation. The de-reservation of SSI products (progressively from 1997 to 2007) exposed small enterprises to competition from large domestic firms and cheap imports. This competitive shock, while painful, accelerated innovation in clusters such as Tiruppur (textiles), Ludhiana (engineering goods), and Moradabad (brass ware). The MSMED Act 2006 was the institutional response providing legal clarity, defining the sector, and mandating a comprehensive facilitation framework.